

send home only ending up giving \$90 to his or her family, while the remitting company took the other \$10.⁹ It hardly seems fair; some call it exploitation.

As more competitors enter the market in the Internet era, people realize there is little reason for such high fees to be charged. While the term “wire money” may make it sound like the company providing the service is doing something sophisticated, in reality there’s no wire. This is an outdated term from the days when Western Union was a telegraph company, literally using wires to send messages. Those wires are long gone. For the most part, all that happens in a remittance is a few centralized entities rebalance their books, debiting one account and crediting the other, after taking out a large chunk of the original amount, of course.

It’s no stretch then to recognize that bitcoin, with its low cost, high speed, and a network that operates 24/7, could be the preferred currency for these types of international transactions. Of course, there are requirements to make this happen. The recipient needs to have a bitcoin wallet, or a business needs to serve as an intermediary, to ultimately get the funds to the recipient. While the latter option creates a new-age middleman—which potentially has its own set of problems—thus far these middlemen have proved to be much less costly than Western Union. The middleman can be a pawnshop owner with a cell phone, who receives the bitcoin and pays out local currency to the intended recipient.

In India, the largest receiver of remittances in the world with 12 percent of the global remittance total, a recent